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EBU5608 Product Development and Management

Topic 3 – Business Environment and Economic Environment

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Agenda

- Define the **macro** and **micro** business environment in product development.
- Identify key **PESTEL** factors (Political, Economic, Social, Technological, Environmental, Legal).
- Explain the impact of **customers, suppliers, competitors, and stakeholders** on business strategy.
- Differentiate between **microeconomics and macroeconomics** in market analysis.
- Analyze how external changes influence **product pricing, competition, and innovation**.

- 60 minutes lecture
- 15-20 minutes in-class activity
- 5-10 minutes for Q&A

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Why do you need to understand the business environment?

- **Influences Product Success** – External factors shape market demand, pricing, and competition.
- **Drives Innovation** – Technology trends and consumer behavior push companies to evolve.
- **Regulatory Compliance** – Businesses must adapt to laws, safety regulations, and industry standards.
- **Economic Impact** – Inflation, interest rates, and global trade affect production costs and sales.
- **Competitive Advantage** – Understanding the environment helps businesses stay ahead of rivals.
- **Risk Management** – Identifying external threats (e.g., supply chain disruptions, policy changes) enables proactive decision-making.

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The Environment

Innovation is seeing what everybody has seen and thinking what nobody has thought.

Dr. Albert Szent-Györgyi, a Hungarian physiologist and Nobel Prize winner

But to turn ideas into reality, you must understand the world they will exist in.

Dr. Mae Jemison, engineer, physician, and first Black woman in space

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1. Business environment

- The business environment – the environment in which the organisation is **located** which contains the **phenomena** which can influence its **behaviour** and **performance.**
- "A business organisation can be seen as a system whose performance is influenced by a whole range of phenomena in its environment" [1]
- External influences can be broken into two areas
  - '**Macro**' (*Palmer*), also known as 'general' (*Worthington*) and
  - '**Micro**' (*Palmer*) also known as 'immediate' (*Worthington*)
- The **internal** environment refers to the factors within an organization that impact its operations, decision-making, and overall performance.

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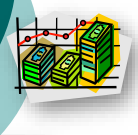
External environment - *Macro*



Economic

Political

Demographic

The business

Ecology

Social/cultural

etc

Technological

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External environment - *Micro*

Suppliers

Customers

Competitors

The business

Intermediaries

Financial institutions

etc

Other stakeholders

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Internal environment

- Functions that are found **within** the organisation itself
  - Company culture
  - Organisational structure
  - Human Resources (HR)
  - Internal policies
  - Technology
  - Financial resoures

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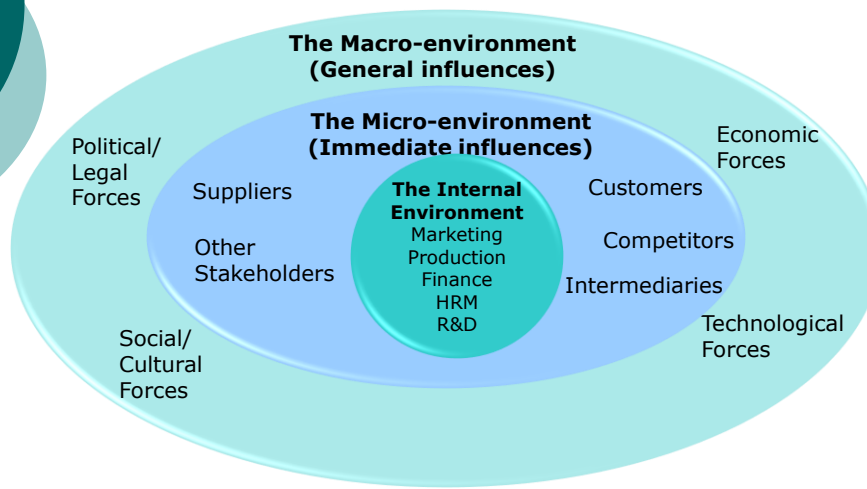
Business environment



[2]

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How business environment affects product development?

- Ultimately, the role of an organisation is to take the **inputs** from the external environment (both macro and micro) to add **value** to them (this applies to both products and services); often through a **change** process; so that **customers** are willing to purchase them

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External environment (*Macro and Micro*)

Environmental Influences
Economic Technological Social Political etc.

Suppliers → Input → **The business** → Output → Customers

[3]

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Example – BYD

Economic growth, consumer confidence, interest rates

Battery technology development, improvements in range, charging speeds

Perceptions of EV performance

Subsidies and tax incentives for EV purchases, trade tariffs

Environmental Influences
Economic Technological Social Political etc.

Suppliers → Input → **BYD** → Output → Customers

Octopus EV

Toyota

Software
Electric traction motor
Battery

Electric Vehicles (compact cars, MPVs, SUVs, and buses)

Private

Business

Public sector

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External environment – *Macro* – **Political**

- "Politicians are instrumental in shaping the **general** nature of the external environment as well as being responsible for passing legislation that affects **specific** types of organisation" (*Palmer*)
- Areas included are
  - Government involvement in the working of the **economy**
  - Governments attempt to influence **market** structure and behaviour
  - Stability of the political system can affect whether a country is **attractive** in terms of investment
  - New **legislation** can impact on the production and sales of products and services
    - For instance, **the General Data Protection Regulation (GDPR)** introduced by the European Union in 2018 has had a significant impact on how tech companies like Google, Facebook, and Amazon manage user data.

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External environment – *Macro* – **Social and Cultural**

- "Culture is concerned with a set of **shared values** which are passed down between generations" (Palmer)
- With increasing **globalisation** and international business, it is vital that organisations consider the social and cultural values of the countries they do business in, especially if they are not their own
- Issues include
  - Social values regarding **work/leisure balance** which is changing rapidly in many countries
  - Cultural values regarding **religion**, **food**, equality, capitalism etc.
  - Increasing concern regarding the **planet** – environmental issues

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External environment – *Macro* – **Demographic**

- Prediction regarding the **age** and **size** of a population is very important for an organisation so that it can prepare for the demand in terms of its **products** and the availability of **personnel**
- A major issue internationally is the increase in **life expectancy** worldwide and reduction in the number of young people
  - This will affect the number of new **graduates** available for certain **positions**
  - Organisations will have to consider employing **older people**
  - Demand for certain **products** e.g. those aimed at a 'younger' market will reduce, whereas those aimed at the 'older' market, often referred to as the 'grey' market will increase
- **Plans** need to reflect these demographic changes

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External environment – *Macro* – **Technological**

- Organisations must be aware of the **technological** changes that could impact on their business
- Palmer identifies **four areas** which can be impacted
  - New technology can allow products and services to be **delivered** in new ways, e.g. via the Internet – e-Business/e-Commerce
  - New ways of **distributing** goods and services, e.g. Dell – direct selling and delivery to the consumer
  - The internet has allowed many products to be sold much **more cheaply**, e.g. budget airlines, as the intermediaries are removed and therefore the overheads reduced
  - New **marketing opportunities** have arisen with the increase in the use of the Internet – brands now utilize online advertising formats such as **pop-ups**, **banner ads**, **native advertising**, and **social media marketing** to target audiences in more personalized, interactive ways

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External environment – *Macro* - **Ecological/Environmental**

- Growing public concern over the state of the **environment** and the **implications** of this
- Global **warming** and the use of fossil **fuels**
- Increase in the demand for **environmentally friendly** products that do not overuse fossil-fuels in their production or impact on the environment
- **Genetically modified** foods not sold in the UK
- **Organic** goods market continually growing in the UK
- Demand for **locally sourced** products to reduce distribution impact – i.e. reduces the use of oil, petrol etc.
- **European Green Deal and Circular Economy Action Plan**: The **European Green Deal** and the **Circular Economy Action Plan** (2020) have further enhanced EU policies concerning the reuse and disposal of electrical and electronic equipment.

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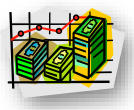
External environment – *Macro* – **Economic**

- "Businesses need to keep an eye on indications of a nation's prosperity e.g. on Gross Domestic Product (GDP) and household disposable income" (*Palmer*)
  - **GDP** – "a measure of the value of goods and services produced in an economy during a specified period" (*Palmer*)
  - **Household disposable income** – "It consists of **earnings** from work, **property income** such as interest and dividends, and **pensions** and other social security benefits; income taxes and social security contributions paid by households are **deducted**" [4]



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External environment – *Micro*

- The Micro external environment is made up of groups that are more **immediate** to the organisation
- These are often called **Stakeholders**
  - Can be defined as:
    - "**any person** with an interest in the activities of an organisation (e.g. customers, employees, government agencies and local communities)" (*Palmer*)
    - "anyone with an interest in an organisation and who is affected by and can affect performance" (*Worthington*)
  - These groups can **influence** and **impact** the plans of an organisation
  - Consideration of these groups is key to **success**

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External environment – *Micro* – **Customers**

- Business must be aware of the changing **demands** and **needs** of customers,
  - (*see slides about Economic Environment*)
- Customers are vital to all organisations and the ability both to identify and to meet consumer needs is seen as one of the keys to organisational survival and prosperity,
- No customers = no business.

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External environment – *Micro* – **Suppliers**

- "Suppliers provide an organisation with goods and services that are **transformed** by the organisation into value-added products for customers" (*Palmer*)
- "Often suppliers are **crucial** to an organisation's marketing success" (*Palmer*)

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External environment – *Micro* – **Intermediaries**

- "Individuals or organisations who are involved in **transferring** goods and services from the producer to the final consumer" (*Palmer*)
- Examples include **supermarkets** who are the intermediaries between food producers and end consumers
- Traditionally, more intermediaries involved in the channel of **distribution**

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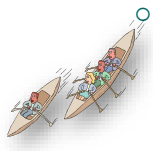
External environment – *Micro* – **Competitors**

- All organisations need to be aware of their competitors
- Particularly important in **highly competitive** industries,
  - e.g. mobile phone manufacturers, digital music providers etc.
- Organisations need to be aware of what their competitors **next move** may be so that it doesn't impact on their own business
- Many organisations want to be the **first** to launch **new products** to the marketplace



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External environment – *Micro* – **Financial Community**

- The **majority** of organisations are funded by the financial community
- Can be **banks** who provide loans, banking services, guidance or overdraft facilities to small or privately owned businesses
- May be **shareholders** (private or institutional) who provide investments
- Investors need to be considered when making organisational **plans**
  - If investors do not agree with the plans, they may remove their financial support

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External environment – *Micro* – **Local Community**

- This is an external group that is often **overlooked**
- Local communities can have an impact on organisations plans
  - For example, many local communities in the UK have stopped mobile phone antennas/**masts** being located near their homes and schools
- More recently plans for '**wind farms**' to provide renewable energy have been blocked by local communities

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External environment – *Micro* – **Pressure groups**

- Another group often overlooked by organisations
- Can have a huge amount of influence over **image** and ultimately success of an organisation
  - Animal rights pressure groups, such as **PETA (People for the Ethical Treatment of Animals)**, often target companies in the fashion industry for their use of animal-based materials like fur and leather.
  - **Outcome**: Many companies in the fashion industry, such as **Gucci**, **Burberry**, and **Versace**, have bowed to the pressure of these animal rights groups by either ceasing the use of fur or committing to sustainable, cruelty-free practices.

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2. The economic environment

- The economic environment refers to the overall state of an economy and the factors that influence it.
- This environment affects businesses, consumers, and governments.
  - **GDP (Gross Domestic Product)**: This is the total monetary or market value of all goods and services produced within a country's borders in a specific time period. It is a key indicator used to gauge the health of an economy.
  - **Inflation**: Inflation is the rate at which the general level of prices for goods and services rises, leading to a decrease in purchasing power.
  - **Unemployment**: The percentage of people in the labor force who are actively seeking work but unable to find a job.
  - **Interest Rates**: The cost of borrowing money, set by central banks like the Federal Reserve, influences spending, saving, and investment.

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2.1 Microeconomics

- Microeconomics focuses on the behavior of individual consumers and businesses and their decision-making processes.
- It plays a critical role in **product development** because by applying microeconomic principles, companies can make informed decisions that optimize their product offerings and ensure they meet market demand effectively.

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Key aspects

- **Supply and Demand**:
  - **Supply**: The amount of a good or service that producers are willing and able to sell at different prices.
  - **Demand**: The amount of a good or service that consumers are willing and able to purchase at different prices.
- **Equilibrium**: The point at which the quantity demanded equals the quantity supplied. The price at this point is called the equilibrium price, and the quantity is the equilibrium quantity.
- **Price Determination**: In a free-market system, prices are determined by the interaction of supply and demand.
- **Price Elasticity of Demand**: Measures how sensitive the quantity demanded is to a change in price. If demand decreases significantly when price increases, demand is elastic; if demand doesn't change much with price, it's inelastic.
- **Price Elasticity of Supply**: Measures the responsiveness of producers to price changes in the market.

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Competition

- Competition exists for most organisations operating in a commercial environment.
- Ultimately organisations want to **attract customers** away from their competitors.
- This is done in a number of ways, including
  - **better products** (differentiation – see Topic 17) and
  - **pricing** (see Topic 17)
- Competition can also arise between organisations when resources are scarce.

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Market structures

- Market structure refers to the organization of a market, based on the number of firms in the market and their relative power.
  - **Monopoly**: A market structure where a single firm dominates the entire market. This firm has significant pricing power and can set prices above competitive levels.
    - **Barriers to entry**: High barriers (such as government regulations or high startup costs) prevent other firms from entering the market.
  - **Oligopoly**: A market dominated by a small number of firms, each of which has significant market power. Companies in an oligopoly may collude or act independently.
    - **Price Rigidity**: Prices in an oligopoly may not fluctuate much because firms are interdependent.
  - **Perfect Competition**: A market structure where there are many firms, each selling identical products. No single firm has the ability to influence the price.
    - **Characteristics**: Many buyers and sellers, freedom of entry and exit, and perfect information.
  - **Monopolistic Competition**: Many firms sell similar but not identical products, allowing for some control over prices but still significant competition.
    - **Product Differentiation**: Companies try to differentiate their products to stand out, like through branding.

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Demand

- Definition
  - " the **quantity** of a product that consumers are willing and able to buy at a specific **price** over a given **period** of time" *Palmer*
- General rules –
  - As the price of a product or service **drops** so the demand will be expected to **increase**
  - So, if the price of a product or service **rises**, then demand is expected to **decrease**

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Supply

Definition

- "the **amount** of a product that producers are willing and able to make available to the market at a given price over a particular period of time" *Palmer*

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Price determination

- An examination of the demand and supply graphs indicate that they share common axe
  - Vertical axes refers to the price
  - The horizontal axis refers to the quantity changing hands
- So, It is possible to redraw the original demand and supply lines on the same graph

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Elasticity of demand

- Definition "the extent to which demand changes in relation to a change in price or some other variable such as income"
- **Price elasticity** of demand refers to the ratio of percentage change in demand to the percentage change in price
- Where demand is relatively **unresponsive** to price changes, demand is said to be **inelastic** with respect to price

$$\text{price elasticity of demand} = \frac{\text{change in demand (\%)}}{\text{change in price (\%)}}$$

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Elasticity of supply

- Definition
  - "a measure of the responsiveness of supply to changes in price" Palmer
- If suppliers are **relatively unresponsive** to an **increase** in the price of a product, the product is described as being **inelastic** with respect to price
- If producers **increase** production substantially as **prices rise**, the product is said to be **elastic**

$$\text{price elasticity of supply} = \frac{\text{change in supply(\%)}}{\text{change in price(\%)}}$$

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2.2 Macroeconomics

- Macroeconomics examines the behavior of the entire economy, focusing on broad factors such as national income, unemployment rates, inflation, and government fiscal policies.
- **National Economy Trends**:
  - **Economic Growth**: A rise in GDP indicates economic expansion, which may lead to higher living standards and employment.
  - **Recession**: A decline in economic activity across the economy, leading to higher unemployment and lower consumer spending.
  - **Government Policies**: Fiscal policies (taxation and government spending) and monetary policies (control of money supply and interest rates) help influence national economic trends.
- **Global Economy Trends**:
  - **Globalization**: The increasing interconnectedness of markets worldwide, influencing trade, investment, and currency flows.
  - **Exchange Rates**: The value of one currency in relation to another, impacting trade, investment, and economic relations between countries.
  - **International Trade**: Trade agreements, tariffs, and global supply chains significantly impact the global economy.

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How can economic shifts affect product pricing?

- Economic shifts can have significant effects on product pricing, as the market adapts to changing conditions.
  - **Inflation**: When inflation rises, the cost of raw materials and wages may increase, leading businesses to raise prices to maintain profitability.
  - **Demand Shifts**: If consumer preferences change or incomes increase, demand for certain products may rise, allowing companies to increase prices. Conversely, if demand falls, prices may need to decrease to stimulate sales.
  - **Supply Chain Disruptions**: If there are disruptions in the supply chain (e.g., due to geopolitical tensions or natural disasters), the supply of certain goods may decrease, leading to higher prices for scarce goods.
  - **Government Policies**: Taxation, tariffs, and subsidies can affect prices. For example, tariffs on imported goods can make those products more expensive.
  - **Monetary Policy**: If central banks raise interest rates to control inflation, borrowing becomes more expensive, which could reduce consumer spending and demand, potentially lowering prices.
  - **Global Events**: Events like pandemics, wars, or major technological advances can cause dramatic shifts in prices depending on their impact on supply, demand, and economic stability.

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Summary

- **Business Environment**:
  - The overall setting where a company operates, including external and internal factors that impact decisions.
- **External Environment**:
  - Factors outside the business that influence product development, such as **economic conditions**, **competition**, and **regulations**.
- **Internal Environment**:
  - Factors within the company itself, such as **resources**, **capabilities**, **corporate culture**, and **operational strategies**, which directly impact product development decisions.
- **Microeconomic Environment**:
  - Focus on **individual consumers** and **businesses** (e.g., demand and supply, pricing strategies, market structures, competitor actions).
- **Macroeconomic Environment**:
  - Broader, national/global factors like **GDP**, **inflation**, **unemployment**, and **government policies** that influence market conditions and consumer behavior.

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Directed Reading

- Reading
  - ***The Business Environment, A Global Perspective,*** *Thompson, E., Worthington, I., Britton, C. (2023) 9th Edition, Pearson, ISBN 1292417846.*

Chapters 1 and 15

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References

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